

Dynamic Capabilities

Teece, Pisano & Shuen

DEFINITION

In fast-moving markets, advantage is the capacity to sense, seize and reconfigure.

KEY POINTS

- Sensing: identify opportunities and threats
- Seizing: mobilise resources to capture value
- Reconfiguring/transforming: renew the asset base
- Use for questions about adaptation, agility or transformation

REFERENCE

Teece, D.J., Pisano, G. and Shuen, A. (1997) 'Dynamic capabilities and strategic management', *Strategic Management Journal*, 18(7), pp. 509-533.